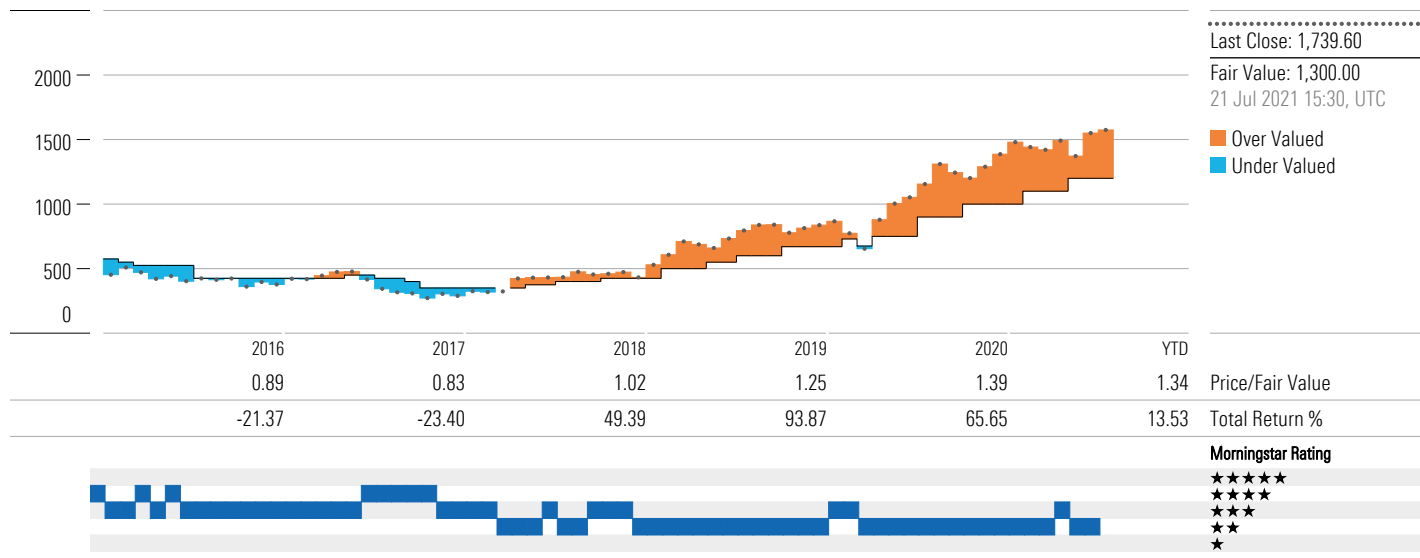


Chipotle Mexican Grill Inc CMG ★★ 21 Jul 2021 15:32, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Moat Trend™	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
1,739.60 USD 21 Jul 2021	1,300.00 USD 21 Jul 2021 15:30, UTC	1.34	44.32 USD Bil 20 Jul 2021	Wide	Stable	High	Exemplary	7 Jul 2021 05:00, UTC

Price vs. Fair Value



Total Return % as of 20 Jul 2021. Last Close as of 21 Jul 2021. Fair Value as of 21 Jul 2021 15:30, UTC.

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The primary analyst covering this company does not own its stock.

¹The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Another Strong Quarter for Chipotle as Loyalty and Digital Investments Bear Fruit

Analyst Note Sean Dunlop, Equity Analyst, 21 Jul 2021

Wide-moat Chipotle posted strong 2021 second-quarter earnings, with robust comparable store sales, or CSS, growth (18.3% on a two-year stack), new unit openings (6.9% annual growth), and 24.5% restaurant-level margins (its best since 2015) underpinning a modest earnings beat. After digesting management's commentary, particularly considering the incrementality of a return to dine-in traffic, sustained traction of the firm's loyalty program, and 40% incremental operating margins, we anticipate raising our fair value estimate to \$1,300, up from \$1,200 previously. While Chipotle boasts one of the most compelling growth narratives in our restaurant coverage, market prices continue to look frothy, with shares trading at a 20% premium to our revised fair value estimate at market close, and up further after hours.

Chipotle's turnaround continues to impress, with the firm reaching its pre-food-safety-crisis average unit volumes of \$2.5 million by quarter's end. In our view, the addition of second-make lines, expanded customer access, and sticky digital channel ordering should pave the way for mid-single-digit CSS growth through 2030, with management's updated \$3 million to \$3.5 million AUV target appearing attainable, particularly as the lunch daypart benefits from workers returning to the office.

On the downside, Chipotle isn't immune to wage inflation and supply chain bottlenecks, with management guidance implying a slight restaurant margin contraction in the back half of the year as

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Sector	Industry
 Consumer Cyclical	Restaurants

Business Description

Chipotle Mexican Grill is the largest fast-casual chain restaurant in the United States, with systemwide sales approaching \$6 billion in 2020. The Mexican concept is entirely company-owned, with a footprint of 2,800 stores heavily indexed to the United States, though the firm maintains a small presence in Canada, the U.K., France, and Germany. Chipotle sells burritos, burrito bowls, tacos, quesadillas, and beverages, with a selling proposition built around competitive prices, high-quality food sourcing, speed of service, and convenience. The company generates its revenue entirely from restaurant sales and delivery fees.

wage inflation (150 basis point increase, sequentially) and elevated food costs pose near-term headwinds. Nonetheless, we expect that better capitalized operators (like Chipotle) with more compelling employment value propositions (wages, benefits, promotion opportunities) will be better positioned to attract workers in a tight labor market, informing our view that near-term unit growth (the valuation lever most sensitive to labor market pressure) is unlikely to be materially impacted.

Business Strategy & Outlook Sean Dunlop, Equity Analyst, 21 Jul 2021

Chipotle's strategy is built upon four pillars: investments in its brand, a superior digital experience, maximizing customer life-time value, or LTV, through its loyalty program, and serving sustainably sourced, healthier fare than quick service restaurant, or QSR, peers. In our view, the company has carved out an enduring niche in the U.S. restaurant landscape, with competitive menu prices, extreme convenience, and "food with integrity" allowing the firm to lure away customers from both upscale fast-casual and traditional fast-food competitors.

Chipotle's digital investments have seen the firm build a loyalty program 13 million active members deep in just over two years, accounting for 70% of digital orders, while online sales of \$1.2 million per store outpace total unit sales at many name-brand competitors. We view a strong loyalty program as accretive to customer LTV and the brand's value proposition, driving increased order frequency, reducing customer churn, and developing menu items and marketing strategies based on real-time customer data. While we expect technology investments to become a cost of doing business (growing at a mid-single-digit clip between 2022 and 2030, by our estimates), we appreciate Chipotle's attention to unmediated access to its customers, building a compelling database of order history, price elasticity, and new product resonance.

The burrito chain's unit development narrative remains compelling, with strong returns on investment driving our mid- to high-single-digit unit growth estimates. New format stores (Chipotlanes, digital-only concepts) offer attractive upside, yielding access to heretofore inaccessible or uneconomic trade areas like office buildings, college campuses, and freestanding suburban concepts, leaving us encouraged as Chipotle diligently links appropriate store footprints to various trade areas.

Ultimately, we view management's strategy as astute, with Chipotle well positioned to meet future customer demands (elevated off-premises mix, blurring lines between fulfillment channels, faster service, a demographic shift toward younger consumers, increased importance of health and sustainability, and wage inflation).

Bulls Say Sean Dunlop, Equity Analyst, 21 Jul 2021

- Accelerated digital adoption during the pandemic supercharged Chipotle's loyalty program, which should drive increased order frequency and reduce customer churn.

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Competitors

	Chipotle Mexican Grill Inc CMG	McDonald's Corp MCD	Starbucks Corp SBUX	Yum Brands Inc YUM
Economic Moat	Wide	Wide	Wide	Wide
Moat Trend	Stable	Stable	Stable	Negative
Currency	USD	USD	USD	USD
Fair Value	1,300.00 21 Jul 2021 15:30, UTC	231.00 17 Feb 2021 00:17, UTC	107.00 28 Apr 2021 11:46, UTC	112.00 28 Apr 2021 17:53, UTC
1-Star Price	2,015.00	311.85	144.45	151.20
5-Star Price	780.00	161.70	74.90	78.40
Assessment	Over Valued 20 Jul 2021	Fairly Valued 20 Jul 2021	Fairly Valued 20 Jul 2021	Fairly Valued 20 Jul 2021
Morningstar Rating	★★ 21 Jul 2021 15:32, UTC	★★★ 20 Jul 2021 21:23, UTC	★★★ 20 Jul 2021 21:23, UTC	★★★ 20 Jul 2021 21:23, UTC
Analyst	Sean Dunlop, Equity Analyst	Sean Dunlop, Equity Analyst	Sean Dunlop, Equity Analyst	Sean Dunlop, Equity Analyst
Capital Allocation	Exemplary	Standard	Exemplary	Standard
Price/Fair Value	1.34	1.01	1.10	1.04
Price/Sales	7.10	8.96	5.82	6.06
Price/Book	21.13	—	71.29	—
Price/Earning	110.33	34.00	138.14	31.06
Dividend Yield	—	2.19%	1.50%	1.67%
Market Cap	44.32 Bil	174.81 Bil	138.36 Bil	34.60 Bil
52-Week Range	1,094.93 — 1,626.57	191.64 — 239.05	74.56 — 120.83	88.08 — 122.73
Investment Style	Large Growth	Large Core	Large Core	Mid Core

- New format stores (Chipotlanes and digital-only pick-up concepts) should position the brand to better compete with quick-service competitors, while opening up new trade areas.
- The success of recent menu innovations (quesadillas, queso blanco, cauliflower rice) validates Chipotle's stage-gate innovation process and could drive daypart expansion.

Bears Say Sean Dunlop, Equity Analyst, 21 Jul 2021

- Chipotle may be forced to compete for incremental market share with better capitalized operators following a slew of independent restaurant closures in 2020.
- Input cost inflation has picked up in 2021, with food costs (avocados, proteins) and labor shortages posing downside catalysts for restaurant margins.
- A return to workplaces and in-restaurant dining could present modest headwinds as urban fast-casual competitors and full-service restaurants recapture wallet share.

Economic Moat Sean Dunlop, Equity Analyst, 21 Jul 2021

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The restaurant industry is intensely competitive, with nonexistent switching costs and constantly evolving customer demands rendering it difficult for operators to carve out sustainable competitive advantages. Firms able to do so, in our view, generally benefit from some combination of pricing power attributable to an enduring brand intangible asset, strong relationships with master franchise partners and an internationally replicable concept, compelling store-level economics, or scale-driven cost advantages. In our view, Chipotle merits a wide economic moat, raised from narrow previously, with industry leading comparable sales growth, a loyal customer base, and advantaged positioning to meet changing consumer demands likely to catalyze excess returns through the 20-year horizon implied by our wide-moat rating. The firm has emerged from its food safety crisis with minimal long-term effects, while operational improvements, strong customer acquisition through the firm's revamped loyalty program, a compelling value proposition relative to fast-food competitors (including a viable alternative to quick service restaurants), drive-thrus, and commanding comparable sales outperformance attesting to a strong, enduring brand intangible asset. Our adjusted ROIC forecast corroborates this view, with average ROICs of 24% during our explicit forecast healthily outpacing the firm's 9% cost of capital.

Following the firm's food safety scares in 2015-18, we maintained a narrow moat rating for the firm, with the view that the Mexican chain may have permanently impaired its brand intangible asset (based on its "food with integrity" mantra), which we anticipated would materialize through slower comparable sales growth and elevated marketing expenses as the firm "bought" traffic with free and discounted food. We viewed increased costs attributable to onerous food safety requirements, legal scrutiny, and outperformance by fast-casual competitors as likely to stymie growth, while sustained absence of the firm's loyal customers due to restaurant closures could have instigated a migration toward competing health-oriented fast-casual concepts (such as Sweetgreen, Mendocino Farms, and Flower Child). In retrospect, some of our concerns were valid--average store sales dropped nearly 20% from \$2.4 million before the crisis to a bottom of \$1.9 million in the fourth quarter of 2016 before slowly recovering to \$2.3 million in the first quarter of 2021--but strong unit growth and comparable store sales performance between 2017 and 2020 drove double-digit systemwide sales growth (despite pandemic headwinds in 2020), allowing the firm to quickly return to generating excess returns for shareholders after a brutal 2016.

In our view, a slew of changes since the nadir of the food safety scare lead us to believe the firm's brand intangible asset has materially strengthened, with operational efficiencies driving restaurant margin expansion (to nearly 29% in 2025 by our forecast, up from 17.4% in 2020 and 6.8% in the first quarter of 2016), digital investments increasing the brand's resonance with digital native consumers, pricing convergence with QSR restaurants allowing Chipotle to tap into a broader customer base, and an assortment of other upside levers (daypart and menu expansion, premium beverage innovation, international development, assumption of leverage, refranchising) offering longer-term potential. Chipotle's operational enhancements, including the addition of a digital-only second-make line and the

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rollout of “Chipotlanes,” or order-ahead drive-thrus, have materially increased throughput capacity, allowing stores to offer competitive prices and make up the difference on volume. The introduction of the second make line appears particularly prescient, with digital orders representing 48.5% of sales in the second quarter of 2021 even as in-store traffic returned at nearly half capacity. The firm's attention to seamless ordering across platforms, whether third-party delivery, white label delivery, mobile order and pickup, and traditional counter service represent the culmination of years of investment in the technology stack, with digital acuity likely to remain integral to the firm's success moving forward. Omnichannel ordering and a 23-million-member loyalty program constitute a strong foundation for dynamic pricing, one-to-one marketing, funneling orders toward high-margin fulfillment channels, and driving data-driven menu innovation in line with customer demands. The firm's success in the digital vertical is difficult to overstate--Chipotle's digital sales per restaurant hit nearly \$1.2 million in 2020 (just over half of total restaurant sales), which would have been good enough on its own for the 45th highest volume among the top 200 U.S. restaurant chains (per Nation's Restaurant News)--outpacing companies like wide-moat Yum! Brands (KFC, Pizza Hut), narrow-moat Restaurant Business International (Tim Horton's), and Dunkin'. Moreover, Chipotle has grown increasingly attractive to a price-sensitive clientele, with its chicken burritos and bowls often selling for less than \$8 and representing a viable alternative to many QSR offerings, as fast food operators have been forced to raise prices to offset input cost inflation, push store renovations, and source food more sustainably (adopted in part to alleviate pressure from fast-casual upstarts). While foot traffic and app usage data indicate that Chipotle customers skew younger and more affluent than most pure QSR competitors (often frequenting other premium or QSR-plus brands like Starbucks and Chick-Fil-A), they also shop at fast food stalwarts like McDonald's and Burger King, leading us to believe that the brand should no longer be considered in isolation from conventional QSR. Instead, as average check continues to converge (with Chipotle's 2020 average check only \$1.20 higher than the limited-service average of \$8.90 in 2020, per our calculations and Euromonitor data) and as Chipotle offers sufficient capacity, drive-thru convenience through Chipotlanes, and comparable speed of service to quick-serve peers, we expect a broader swath of the population to include the Mexican chain in its decision set for an affordable meal out. Finally, we view food safety risks as unlikely to materialize again at scale, with DNA-based bacterial testing upon delivery, sous vide meat preparation at distribution centers, third-party inspections, pre-shift employee wellness checks, mandatory hand-washing, and air purification systems representing some of the exhaustive steps the brand has taken to shore up its supply chain.

Turning to Chipotle's brand intangible asset, we believe that robust comparable store sales performance, strong loyalty program uptake, and compelling unit economics attest to the brand's strength, while forward-looking investments stand to entrench pricing power and affinity moving forward. In our view, comparable sales performance represents an appropriate gauge of brand strength, with the best operators able to consistently outpace inflation with pricing power and increases in guest

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traffic. Over the last 10 years, Chipotle has seen median comparable sales growth of 6%, on par with wide-moat Starbucks and handily outperforming wide-moat peers McDonald's (2.1%), Taco Bell (3.5%), and KFC (2.5%), with only Domino's (7.1%) boasting better results. Further, the firm was able to completely offset margin pressure from delivery costs during a difficult 2020, generating some 25% of revenue in the channel despite 17% higher menu prices than those in-store. Chipotle's success in defraying recent costs (including a 3.5%-4% price bump to mitigate the impact of wage hikes) leaves us encouraged as restaurants are forced to adapt to a changing competitive environment, with labor and input cost inflation continuing to push higher through early 2021 (and pure value-oriented peers likely to disproportionately feel the impact). The firm's loyalty program rollout has also proven encouraging, with 21.5 million registered members as of the first quarter of 2021 putting Chipotle within striking distance of some of the most successful loyalty programs in the industry--Domino's, Starbucks, and Panera. Though Starbucks boasts a larger active user base of 22.9 million, 90-day active members in the U.S. as of the first quarter of 2021 (a little more than 75% higher than our estimate of 12.9 million for Chipotle), Chipotle's performance remains impressive given the much smaller scale of its domestic footprint (2,800 stores against nearly 15,300 at the coffee giant). Importantly, loyalty program members have historically been highly incremental, with the company estimating that 65% of members were new to the brand at sign-up (during the pandemic), with loyalty participants accounting for some 70% of digital sales. Finally, we view Chipotle's unit economics as among the best in the industry, with cash on cash returns of 35% and a payback period under three years based on our calculations offering materially higher returns on investment than most competitive QSR concepts, which tend to see payback in four to six years due to larger footprints and lower restaurant margins. While we often cite unit economics and growth as a proxy for franchisee health, given the Mexican chain's 100% company-ownership, we approach it in this case as reinforcing the firm's mid-single-digit unit growth aspirations instead. While growth is not in and of itself evidence of a competitive advantage, it does allow Chipotle to generate scale over advertising expenditure, supply chain and quality assurance investments, (relatively) fixed labor and rent expenditure, and sustained investments in the technology stack, allowing the firm to more effectively compete with larger QSR peers. Finally, though marketing expenses jumped sharply in 2016 (as the firm relied on free meals and discounting to drive traffic after food safety concerns), we note that trailing five-year figures of 2.5% of system sales are materially lower than wide-moat McDonald's (4%), wide-moat Yum! Brands (4.5% at KFC, 6% at Pizza Hut, 5.5% at Taco Bell), and wide-moat Domino's Pizza (5.5%), dispelling our concerns around a permanent uptick in discounting and promotional activity to buy comparable sales growth, which would point to brand impairment.

Finally, we view the likelihood of sustained economic value creation as quite high for the restaurant brand, which finds itself on the leading edge of most of the changes we expect to impact the restaurant industry over the medium to long term. Though Chipotle saw economic value destruction in 2016 (amid a sharp comparable sales decline, restaurant closures, and increased operational costs associated with

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outbreaks), we view the likelihood of similar events as exceedingly unlikely--and to the extent that an outbreak were to happen, supply chain tracing should allow it to be quelled more quickly and traced to its source, which represented perhaps the biggest systemic issue from the original incident. In our view, risks lie to the upside for the brand, which boasts an attractive following among an affluent, experience-oriented millennial and Gen Z customer base that spends materially more on eating out than older cohorts. Chipotle's technological proficiency has already borne fruit, but a robust loyalty program (enabling one-to-one marketing and strategic menu development), and omnichannel ordering -- increasing store capacity and allowing orders to be funneled toward higher margin channels--is a positive, while an order-ahead drive-thru eliminates the labor and payment pain points associated with the traditional QSR model. Further, nearly \$1.2 million in store-level digital sales offers longer-term potential, positioning Chipotle as one of the few operators in our coverage with viable aspirations to open smaller-concept, digital-only stores, which are heavily reliant on a brand and digital platform to drive traffic (and offer huge margin upside with lower rental expenses and the elimination of front-of-house staff positions). Finally, the firm's "food with integrity" DNA is likely to resonate with the limited-service restaurant customer of the future, with more ethical sourcing and supply chain tracing from "farm to table" proactively addressing some of the future environmental, social, and governance, or ESG, risks that loom for the industry. Ultimately, we expect operating leverage over store-level expenses, corporate general and administrative expenses, and rental expenses to offer meaningful operating margin improvement as Chipotle finally exceeds pre-2016 average store sales figures, with operational efficiencies, higher margin premium beverages, Chipotlanes, and smaller format stores contributing to strong ROIC expansion--to just north of 31% by 2030.

Fair Value and Profit Drivers Sean Dunlop, Equity Analyst, 21 Jul 2021

We're increasing our fair value estimate for Chipotle to \$1,300 from \$1,200 prior as we adjust for time value of money, operating leverage, and sticky digital orders after second-quarter 2021 results. Our valuation implies 2021 price/earnings of 53 times and 28 times EV/adjusted EBITDA. We assign the firm a 9% cost of capital.

Consistent with the rest of our restaurant coverage, we view comparable store sales, the pace of new unit openings, and restaurant margins as the most important valuation drivers for Chipotle. We're impressed by management's prescient investments in loyalty and mobile ordering, with the adoption of operational improvements from CEO Brian Niccol's Taco Bell playbook (complementary rotating menu items, targeted marketing) helping to drive sustained comparable sales outperformance relative to peers. Our forecast calls for 7.5% annual comparable sales growth through 2025 (4.9% excluding a sharp jump in 2021), with menu development, sticky digital channel volume, and the widespread rollout of Chipotlanes underpinning the firm's impressive results.

We expect Chipotle to open its 3,000th store in 2021, with Chipotlanes and digital-format stores

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unlocking new trade areas for the firm. Our model calls for high-single-digit unit growth through 2025 (8%), with the restaurateur leveraging commanding unit economics (we estimate cash on cash returns of 35%, against QSR peers in the midteens to low 20% range) and strong cash flow generation to push a run-rate of 230-290 net new stores per year, slightly ahead of the absolute figures in the mid-2010s. We view management's long-term target of 6,000 U.S. units as plausible (though unlikely to be reached within the next decade), especially as strong digital volumes position Chipotle as one of only a handful of operators with viable ambitions for embracing digital-only restaurants at scale.

Finally, our model calls for strong restaurant margin expansion, approaching 29% by 2025 as fixed cost leverage, the roll-off of pandemic-related expenses, and normalizing marketing expenditure provide upside. While we don't expect the historical restaurant margin relationship to hold (100 basis points of margin per \$100,000 unit sales) at higher unit volumes due to input cost inflation and delivery commissions, we see upside from both the high-margin Tractor beverage platform and reduction of point-of-sale pain points as digital ordering incidences remain elevated. Our model calls for 2025 operating margins of 16.2%.

Risk and Uncertainty Sean Dunlop, Equity Analyst, 21 Jul 2021

We assign Chipotle a high uncertainty rating, with execution risk, an intensely competitive U.S. restaurant market, and sensitivity to macroeconomic factors representing the key uncertainties for the firm.

Chipotle remains a compelling growth story, with system sales frequently expanding at double-digit annual rates as the brand aggressively develops its U.S. footprint, while a slew of operational improvements have driven impressive same store sales growth. In our view, sustaining these results against lofty investor expectations will require nearly flawless execution as the firm continues to scale its supply chain, source new real estate opportunities, and enter new trade areas. Market expectations don't allow Chipotle much room to catch its breath, with our own expectations for 230-290 annual net new units between 2022 and 2030 placing heavy demands on Chipotle's developmental, technological, and operational teams, while competition for real estate, construction crews, and restaurant staff add a further layer of risk to our forecasts.

We believe that Chipotle's environmental, social, and governance (ESG) risk remains muted on the product side, due to the firm's commitment to ethical sourcing, and see labor relations as the firm's largest ESG concern going forward. With restaurant operators representing the bottom of the labor market stack, increased attention to minimum wage growth and worker benefits could pressure results, forcing restaurants to look for ways to keep costs in check by reducing their dependency on labor hours.

Finally, Chipotle maintains exposure to risks consistent with the rest of our restaurant coverage,

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including input cost inflation, pressure on consumer wallets, competition, and digital infrastructure security. After a market share land-grab in 2020, the closure of many independent restaurants will likely see competitive pressure intensify as better capitalized, competitively advantaged operators are forced to compete for customers.

Capital Allocation Sean Dunlop, Equity Analyst, 21 Jul 2021

We assign Chipotle an Exemplary capital allocation rating after incorporating our new, forward-looking capital allocation methodology. Balance sheet strength and a strong investment track record support our view, with our assessment of shareholder returns remaining mixed.

Chipotle carries no long-term debt, with \$1.2 million in cash, restricted cash, and investments at the end of second-quarter 2021 and access to a \$500 million credit line providing a substantial buffer. Lease payments for restaurants are the firm's only meaningful fixed charge, with our forecast calling for a comfortable fixed-charge coverage ratio of 3.2 times in 2021. While the firm's balance sheet risk is minimal, we wonder if the assumption of some debt might help better optimize the chain's cost of capital, providing dry powder to fund international expansion (or otherwise be returned to shareholders). Nonetheless, we understand management's reluctance to assume leverage and its associated constraints, given the firm's growth profile and ready access to internally generated funds. While we expect investors to push for capital structure optimization as domestic growth slows, we appreciate management's attention to leveraging its brand intangible asset and driving strong domestic unit growth before adding the distraction of a broader global push—especially given minimal risk of smaller fast-casual competitors making the jump across the pond first, in our view.

With a deep bench of management talent and decades of experience at strong, global brands (McDonald's, Starbucks, Taco Bell), we expect Chipotle's investments to remain moat-accretive through our forecast, resulting in ROICs strengthening from 10% in 2020 to just north of 31% in 2030 as incremental capital is channeled toward high return projects. The firm's recent investments have proven moat-accretive, with a digital push driving seamless in-app and online ordering, the 2019 re-launch of the loyalty program quickly becoming a strong vehicle for customer acquisition and driving higher customer life-time value, and new store development providing robust 35% cash on cash returns (net operating income/initial cash outlay), by our calculations. Investments have positioned the brand well to compete in an environment liable to increasingly skew off-premises, move closer to customers, provide faster fulfillment, and offer customizable, "better for you" fare that readily suits a variety of dietary restrictions.

Further, we're encouraged by a compensation structure that privileges same store sales growth (driven by menu pricing, mix, and guest traffic) and restaurant margins, which should align management interests with those of investors. In our view, this structure incentivizes investments in operational

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efficiency (margins), menu development (menu mix), and customer experience (guest traffic), which should allow the company to support its brand through the 20-year horizon implied by our wide moat forecast. Our model calls for sustained investments in technology, equipment, and maintenance capital expenditure (with a \$200 million plus median through 2030), with robust free cash flow generation, a willingness to embrace new technology, and an emphasis on a unique, unmediated customer experience allowing Chipotle to remain a step ahead of competitors.

Finally, we view Chipotle's capital returns philosophy as mixed, with the magnitude of distributions appearing appropriate at this stage in the company's lifecycle, but with share repurchases proving moderately dilutive (as they have historically been conducted at prices above our fair value estimates). Our forecast calls for share buybacks in the low- to single-digit percentage of shares by 2025, and we've layered in a modest dividend payment in the back half of our forecast as unit growth rates normalize and balance sheet cash begins to build (though we acknowledge management's sustained reluctance, we suspect pressure from investors will build as cash balances do, consistent with slowing unit growth rates by 2025). Considering these factors, we assign the firm an Exemplary capital allocation rating, and expect management's decisions to be accretive to the firm's competitive advantages.

Analyst Notes Archive

Time To Give Chipotle Its Due; We Raise Our Moat to Wide As Assembly-Line Burritos Are Here To Stay Sean Dunlop, Equity Analyst, 14 Jun 2021

We're raising our economic moat rating for Chipotle to wide from narrow, as the company's strong unit economics, same store sales, and recent operational enhancements leave us convinced that excess returns (and the strikingly efficient assembly-line burritos that underpin them) look poised to stay. Despite extending our horizon for excess returns, we maintain our fair value estimate at \$1,200 per share, still about 14% behind current market prices, as we incorporate our projected 26% federal tax rate into our model. We would be ready buyers on a pullback, however, with new format stores, increased capacity from second-make lines, sticky digital sales, and compelling 35% cash on cash returns laying the groundwork for double-digit top-line growth (16%) and high-single-digit comparable sales growth (7%) through 2025.

Chipotle has, in our view, left its food safety issues behind, with a symbolic DOJ agreement in April 2020 likely closing the door on the unfortunate chapter in an otherwise stratospheric rise for the fast-casual mainstay. The brand has astutely navigated a dynamic industry environment, with heavy investments in digital ordering and loyalty underpinning 7% system sales growth in 2020, even as the limited service industry fell nearly 3% in aggregate. Heady trailing 10-year comparable sales growth of 6% corroborates this view, handily outpacing the limited-service industry (1.3%) and our fast-casual competitive set (1.7%) over the same period, per our calculations and Euromonitor data. With

Chipotle Mexican Grill Inc CMG ★★ 21 Jul 2021 15:32, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Moat Trend™	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
1,739.60 USD 21 Jul 2021	1,300.00 USD 21 Jul 2021 15:30, UTC	1.34	44.32 USD Bil 20 Jul 2021	Wide	Stable	High	Exemplary	 7 Jul 2021 05:00, UTC

comparable sales driven by price increases and traffic growth, we view this as an appropriate indicator of brand strength, further attested to by the firm's structurally lower marketing expenditure (2.5%-3.5%) than fast-food peers (4%-6%).

We're encouraged by Chipotle's rapid recovery since its food-safety scare, with strong loyalty adoption, Chipotlanes, and sticky digital volumes (50% of first quarter sales) laying the foundation for sustained outperformance.

Digital Ecosystem and Stimulus Funds Buoy Q2 Results at Chipotle; We Still Struggle with Valuation

Nicholas Johnson, CFA, Equity Analyst, 22 Apr 2021

With narrow-moat Chipotle's stock remaining on a tear heading into its first-quarter earnings release, we believe investors were keen to find out how tenuous its spot on the perch would prove to be. Strong execution, particularly around strategic growth themes like digital and convenience, supported another quarter of solid results (revenue in line and earnings ahead of FactSet consensus, respectively).

Uncertainty continues to litter the horizon (evidenced by management's unwillingness to give full-year comp guidance), but at least for now, the firm continues to dispel any concerns about the frailty of its momentum. Incorporating time value since our last update, in conjunction with a slightly better comp outlook, should increase our \$1,100 fair value estimate by a high-single-digit percentage. Nevertheless, we continue to see the current valuation as irreconcilably rich. The assumptions implied by today's market price stretch credulity, in our view, and seem divorced from the very real potential for execution missteps and competitive fervor as the pandemic eases.

Total revenue came in at \$1.7 billion, representing a 23.4% year-over-year increase. Comps were up a very healthy 17.2% as it lapped the anniversary of the COVID-19 onslaught and attendant disruption. Consistent with recent quarters, comp performance was driven by menu innovation (with the new handcrafted quesadillas, a consummate product of the firm's stage-gate process, off to a great start), robust digital sales (up 134% to represent 50% of revenue in the quarter), and delivery menu price increases. New units drove the remainder of the top-line increase, as the firm added 40 stores to its footprint, 26 of which included the throughput-enhancing Chipotle format. Management reiterated its commitment to 200 store additions in 2021, and we continue to see the confluence of unit growth, digital engagement, and daypart expansion supporting a low- to mid-teens average annual sales trajectory through 2025.

Solid Execution and Strategy Should Return Chipotle to Long-Term Algorithm in 2021; Shares Rich

Nicholas Johnson, CFA, Equity Analyst, 3 Feb 2021

With narrow-moat Chipotle's stock on a tear heading into its fourth-quarter earnings release, we believe investors were keen to find out how tenuous its spot on the perch would prove to be. While not mind-blowing, the results were decent (in line and slightly below FactSet consensus on the top and bottom

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lines, respectively), and the firm, at least for now, dismissed any concerns about the frailty of its momentum. As we roll our model, cash flows of greater magnitude are less diluted by time value discounting. This, together with modestly higher near-term comp momentum, should increase our fair value estimate to around \$1,100 from \$1,000. Nevertheless, we continue to view the current valuation as stretched. The assumptions implied by today's market price stretch credulity, in our view, and seem divorced from the very real potential for execution mis-steps and competitive fervor post-COVID.

Total revenue came in at \$1.6 billion, representing an 11.6% year-over-year increase. Comps of 5.7% were commendable, in our view, given the backdrop of resurgent COVID cases and the attendant operating restrictions. The comp performance was driven by seasonal innovation (particularly Carne Asada), robust digital sales (up 177% to represent 49% of revenue in the quarter), and menu price increases (which have been implemented to temper delivery cost pressure associated with the pandemic-induced channel shift). New units drove the remainder of the top-line increase, as the firm added 61 stores to its footprint, 42 of which included the throughput-enhancing Chipotlane format. Management expects to return to its cadence of 200+ annual unit increases in 2021 (versus 161 in 2020), and we continue to see the confluence of unit growth, digital engagement, and daypart expansion supporting a low- to mid-teens average annual sales trajectory through 2025.

Chipotle's Well Positioned Post-Pandemic, but Current Valuation Assumes Unrealistic Long-Term Growth R.J. Hottovy, CFA, Sector Strategist, 22 Oct 2020

Narrow-moat Chipotle's third-quarter update showcased the steps the firm has taken to navigate COVID-19-related disruptions and position itself for postpandemic market share gains. Comps increased 8.3%--well ahead of the low-single-digit growth from most nonpizza quick-service and fast casual chains--on the strength of digital/delivery sales, which increased 202% and represented 48.8% of total sales for the quarter (even more impressive when factoring in delivery price increases implemented during the quarter). While comps have retreated to mid-single-digit growth in September/October, part of the deceleration can be chalked up to lapping last year's successful carne asada launch.

While the market initially balked at Chipotle's restaurant margin results--19.5%, a 130-basis-point decrease year over year--management called out 100 basis points of COVID-related cost pressures and expects underlying restaurant margins of approximately 21% in the fourth quarter, which would be Chipotle's strongest fourth-quarter performance since 2014. Factoring in continued digital ordering traction, increased ordering frequency among 17 million loyalty program members, and contribution from new products like quesadillas and cauliflower rice, we remain comfortable with our five-year targets for midteens average annual top-line growth (high-single-digit comps and 6% annual unit growth), average unit volume pushing \$3.0 million, restaurant margins of 26%, and adjusted EPS growth in the mid-30s.

At this point, our only real concern is valuation. While Chipotle will likely be one of the key

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postpandemic market share beneficiaries--and we plan a modest increase to our \$900 fair value estimate due to time value of money--we believe the long-term growth implied by the current market valuation is well ahead of management's expectations (6,000 units, average unit volume of \$2.5 million, and restaurant margins at or above 25%) and see the shares as overvalued.

After a Turbulent 2020, Is Market Optimism for Restaurants Heading Into 2021 Warranted? R.J.

Hottovy, CFA, Sector Strategist, 17 Sep 2020

Restaurants have been one of the hardest-hit industries during the COVID-19 pandemic because of mandated restaurant operating restrictions and subsequent changes in consumer behavior. However, as we start to look past one of the most disruptive years the industry has ever seen, we believe the market is pricing in several different narratives. One, many larger quick-service restaurants and fast-casual operators--especially those with compelling value propositions, offering greater access via digital, drive-thru, and delivery options, and operating in a position of financial health (both at the corporate and franchisee level)--will continue to enjoy a rebound in guest traffic. Two, there is still apprehension about more experiential restaurant concepts, including specialty coffee, casual dining, and fine dining chains, due to a potential return of COVID-related closures, staffing/execution issues, and colder climates (which may limit outdoor dining). As a result, these categories are likely to continue to see operational disruption and potentially unit closures in the near future. Three, with unit closures expected to accelerate over the back half of the year as business and consumer stimulus packages roll off--particularly among smaller, independent chains--many larger players will be well positioned to compete for ceded market share.

Like the broader market, we believe these narratives have created a situation where investors are putting a premium on growth above all, creating a restaurant industry "FAANG" situation (with digitally integrated delivery and takeaway players like narrow-moat Chipotle, wide-moat Domino's, Papa John's, and Wingstop among perceived high-growth names). While we agree that these firms are poised for postpandemic market share gains, we believe several expected industry survivors aren't getting enough attention, including narrow-moat Restaurant Brands International, wide-moat Yum Brands, no-moat Darden, and wide-moat Starbucks.

Chipotle Building a Blueprint for Post-Pandemic Growth, but Market Valuation Tough to Justify R.J.

Hottovy, CFA, Sector Strategist, 23 Jul 2020

Narrow-moat Chipotle's solid second-quarter results (comps down 9.8%, versus mid-20s declines for most limited-service operators) and strong start to July (comps up 6.4%) offers further evidence that it is not only weathering industry disruptions but developing a blueprint for sustained post-pandemic growth. While macro pressures (unemployment and uncertainty regarding consumer/business stimulus) and the possible return of restaurant operating restrictions loom as headwinds, Chipotle appears positioned to outperform the industry over the foreseeable future.

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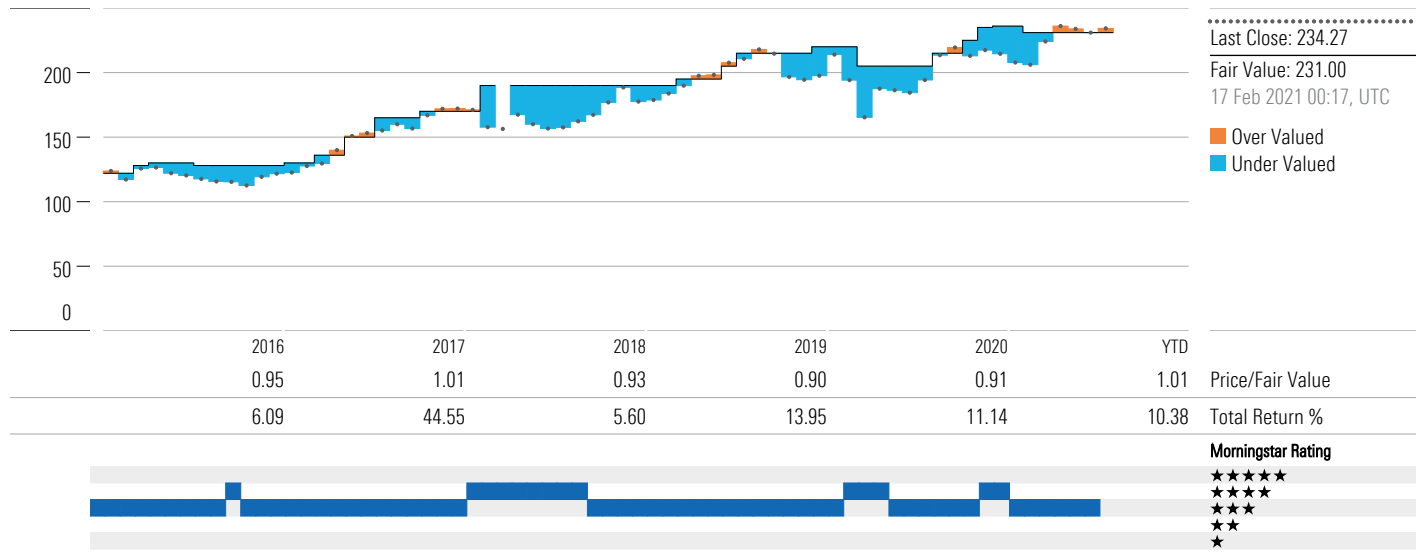
Chipotle's key second-quarter drivers were a continuation of first-quarter trends, only amplified. This included digital ordering (61% of total sales, including a 125% increase in delivery and 140% order-ahead), loyalty program adoption (15 million members), and contribution from new products like queso blanco. While Chipotle will pull back on free delivery promotions, we anticipate that digital engagement and product innovation (including quesadillas as a digital-only item, the launch of cauliflower rice, and a new beverage partnership with Tractor Beverages) will help to drive mid-single-digit comps for the year. We also continue to believe that Chipotle has an opportunity to fill vacated restaurant real estate with its Chipotlane formats, which continue to perform well and should facilitate 200-plus annual openings beginning in 2021. Chipotle has also become a more efficient operator as it navigated COVID-19-related operating restrictions, which makes our medium-term target of mid-20s operating margins more palatable.

At this point, our only real concern is valuation. While Chipotle will likely be one of the key post-pandemic market share beneficiaries--and we plan to increase our \$750 fair value estimate by 10% due to a more optimistic medium-term sales outlook--we believe it will be difficult to achieve the long-term growth implied by the market valuation and see shares as overvalued. ■■

Chipotle Mexican Grill Inc CMG ★★ 21 Jul 2021 15:32, UTC

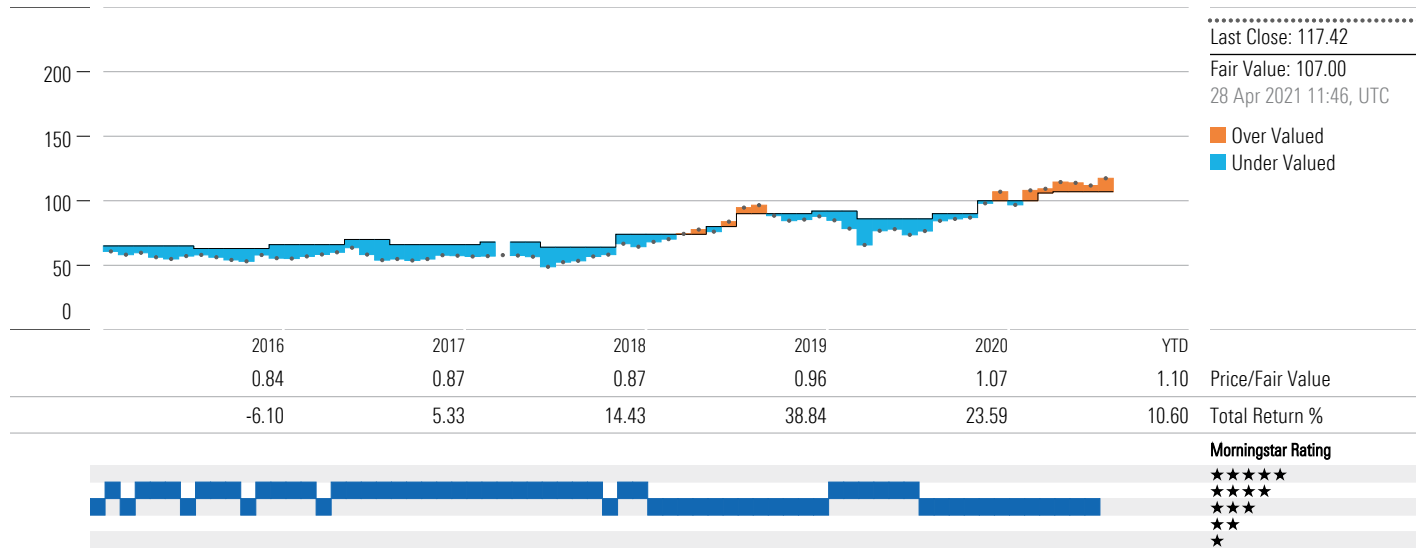
Competitors Price vs. Fair Value

McDonald's Corp MCD



Total Return % as of 20 Jul 2021. Last Close as of 20 Jul 2021. Fair Value as of 17 Feb 2021 00:17, UTC.

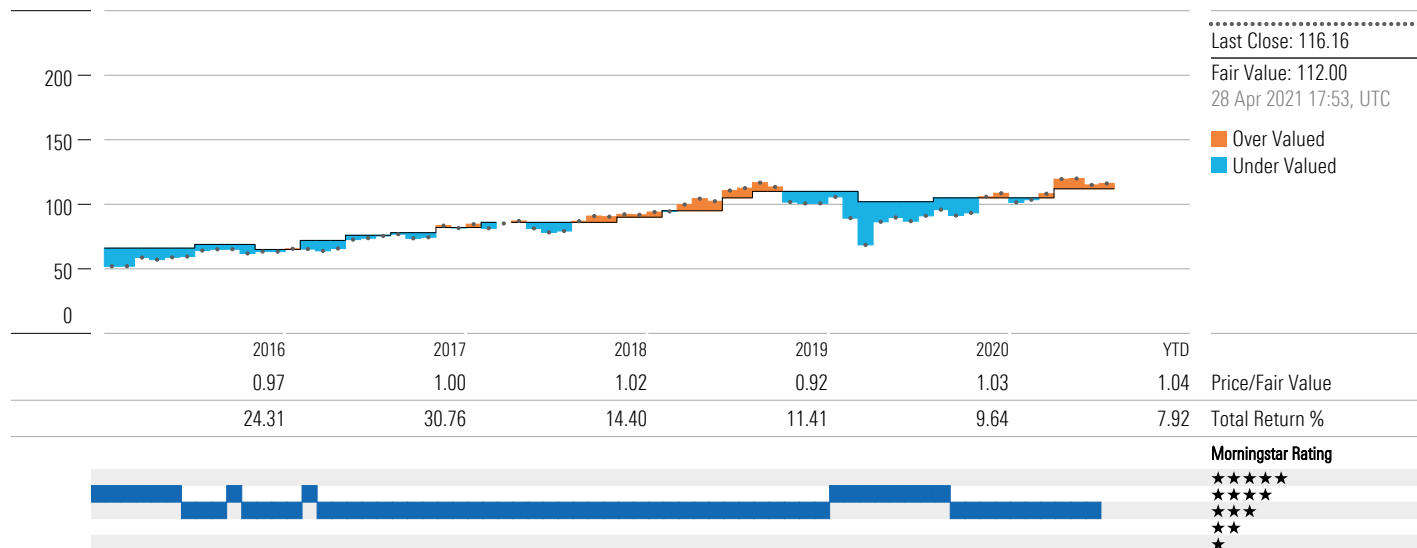
Starbucks Corp SBUX



Total Return % as of 20 Jul 2021. Last Close as of 20 Jul 2021. Fair Value as of 28 Apr 2021 11:46, UTC.

Chipotle Mexican Grill Inc CMG ★★ 21 Jul 2021 15:32, UTC

Yum Brands Inc YUM



Total Return % as of 20 Jul 2021. Last Close as of 20 Jul 2021. Fair Value as of 28 Apr 2021 17:53, UTC.

Chipotle Mexican Grill Inc CMG ★★

21 Jul 2021 15:32, UTC

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Morningstar Historical Summary

Financials as of 31 Mar 2021

Fiscal Year, ends 31 Dec	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	YTD	TTM
Revenue (USD Mil)	2,270	2,731	3,215	4,108	4,501	3,904	4,476	4,865	5,586	5,985	1,742	6,315
Revenue Growth %	23.6	20.3	17.7	27.8	9.6	-13.3	14.6	8.7	14.8	7.1	23.4	11.0
EBITDA (USD Mil)	431	545	636	828	907	205	447	527	844	744	274	836
EBITDA Margin %	19.0	20.0	19.8	20.2	20.2	5.3	10.0	10.8	15.1	12.4	15.7	13.2
Operating Income (USD Mil)	356	461	539	718	777	58	284	325	467	321	167	407
Operating Margin %	15.7	16.9	16.8	17.5	17.3	1.5	6.4	6.7	8.4	5.4	9.6	6.5
Net Income (USD Mil)	215	278	327	445	476	23	176	177	350	356	127	406
Net Margin %	9.5	10.2	10.2	10.8	10.6	0.6	3.9	3.6	6.3	5.9	7.3	6.4
Diluted Shares Outstanding (Mil)	32	32	31	32	31	30	29	28	28	28	29	28
Diluted Earnings Per Share (USD)	6.76	8.75	10.47	14.13	15.10	0.77	6.17	6.31	12.38	12.52	4.45	14.27
Dividends Per Share (USD)	—	—	—	—	—	—	—	—	—	—	—	—

Valuation as of 30 Jun 2021

	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	Recent Qtr	TTM
Price/Sales	5.0	3.5	5.4	5.5	3.3	2.9	1.9	2.5	4.4	6.8	7.0	7.0
Price/Earnings	52.6	34.0	54.1	53.5	28.7	156.3	55.9	64.1	76.3	166.7	108.7	108.7
Price/Cash Flow	27.9	22.5	32.4	31.3	21.0	30.3	18.7	20.8	35.6	53.5	56.2	56.2
Dividend Yield %	—	—	—	—	—	—	—	—	—	—	—	—
Price/Book	10.6	7.4	11.3	11.2	6.1	7.5	5.8	8.3	14.3	21.5	20.8	20.8
EV/EBITDA	23.5	16.1	25.2	0.0	0.0	0.0	17.0	21.4	29.9	55.0	0.0	0.0

Operating Performance / Profitability as of 31 Mar 2021

Fiscal Year, ends 31 Dec	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	YTD	TTM
ROA %	16.9	18.0	17.8	19.6	18.1	1.0	8.7	8.2	9.5	6.4	2.1	7.2
ROE %	23.2	24.3	23.5	25.1	23.0	1.3	12.7	12.6	22.4	19.2	6.2	21.6
ROIC %	23.1	24.3	23.5	25.1	23.0	1.3	12.7	12.1	11.0	7.3	2.5	8.2
Asset Turnover	1.8	1.8	1.7	1.8	1.7	1.6	2.2	2.3	1.5	1.1	0.3	1.1

Financial Leverage

Fiscal Year, ends 31 Dec	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	Recent Qtr	TTM
Debt/Capital %	0.3	—	—	—	—	—	—	—	61.4	59.4	59.2	—
Equity/Assets %	73.3	74.7	76.6	79.6	78.1	69.2	66.7	63.6	33.0	33.8	34.1	—
Total Debt/EBITDA	0.0	—	—	—	—	—	—	0.0	3.4	4.2	11.9	—
EBITDA/Interest Expense	—	—	—	—	—	—	—	—	—	—	126.3	—

Morningstar Analyst Historical/Forecast Summary as of 07 Jun 2021

Financials						Forward Valuation					
		Estimates						Estimates			
Fiscal Year, ends 31 Dec	2019	2020	2021	2022	2023		2019	2020	2021	2022	2023
Revenue (USD Mil)	5,586	5,985	7,488	8,708	9,931	Price/Sales	4.2	6.5	5.9	5.1	4.5
Revenue Growth %	14.8	7.1	25.1	16.3	14.1	Price/Earnings	67.6	110.8	64.5	52.1	42.0
EBITDA (USD Mil)	711	595	1,288	1,476	1,781	Price/Cash Flow	59.9	133.7	80.1	58.4	45.0
EBITDA Margin %	12.7	9.9	17.2	17.0	17.9	Dividend Yield %	—	—	—	—	—
Operating Income (USD Mil)	444	290	921	1,177	1,428	Price/Book	—	—	—	—	—
Operating Margin %	8.0	4.9	12.3	13.5	14.4	EV/EBITDA	35.5	68.8	36.1	31.5	26.1
Net Income (USD Mil)	350	356	686	837	1,015						
Net Margin %	6.3	5.9	9.2	9.6	10.2						
Diluted Shares Outstanding (Mil)	28	28	28	28	27						
Diluted Earnings Per Share(USD)	12.38	12.52	24.39	30.19	37.46						
Dividends Per Share(USD)	0.00	0.00	0.00	0.00	0.00						

Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our es-

timate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

To assess the sustainability of excess profits, analysts perform ongoing assessments of the moat trend. A firm's moat trend is positive in cases where we think its sources of competitive advantage are growing stronger; stable where we don't anticipate changes to competitive advantages over the next several years; or negative when we see signs of deterioration.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

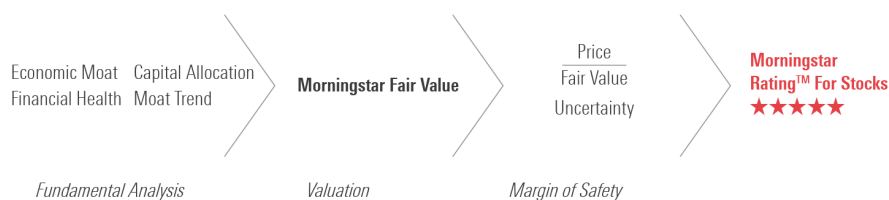
Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating captures a range of likely potential intrinsic values for a company and uses it to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating represents the analysts' ability to

Morningstar Equity Research Star Rating Methodology



Research Methodology for Valuing Companies

bound the estimated value of the shares in a company around the Fair Value Estimate, based on the characteristics of the business underlying the stock, including operating and financial leverage, sales sensitivity to the overall economy, product concentration, pricing power, exposure to material ESG risks, and other company-specific factors.

Analysts consider at least two scenarios in addition to their base case: a bull case and a bear case. Assumptions are chosen such that the analyst believes there is a 25% probability that the company will perform better than the bull case, and a 25% probability that the company will perform worse than the bear case. The distance between the bull and bear cases is an important indicator of the uncertainty underlying the fair value estimate. In cases where there is less than a 25% probability of an event, but where the event could result in a material decline in value, analysts may adjust the uncertainty rating to reflect the increased risk. Analysts may also make a fair value adjustment to reflect the impact of this event.

Our recommended margin of safety widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the estimated value of the equity, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the uncertainty rating provides guidance in portfolio construction based on risk tolerance.

Our uncertainty ratings for our qualitative analysis are low, medium, high, very high, and extreme.

Margin of Safety		
Qualitative Analysis	★★★★★ Rating	★ Rating
Uncertainty Ratings		
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

4. Market Price

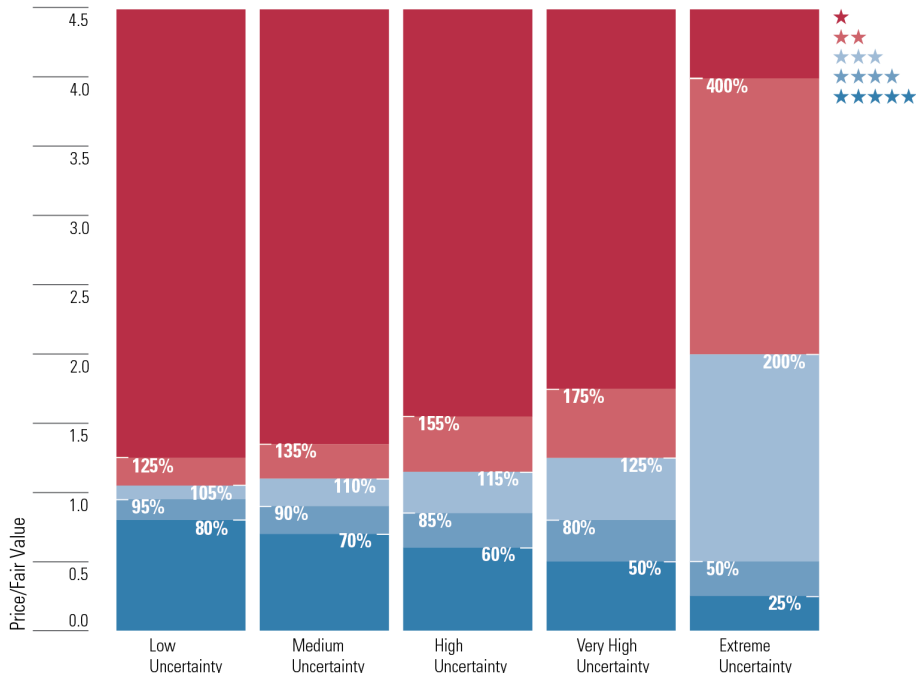
The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to <https://shareholders.morningstar.com>.

Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically recalculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close

Morningstar Equity Research Star Rating Methodology



tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

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Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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